Michael H. Steinhardt

Michael Steinhardt is recognized as one of the premier investors of his time. At the time of his announced retirement in 1995, the average annual return for his funds was about 24 percent. Another way to look at it: A dollar invested with him at inception was worth $462 in 1995 versus $17 for the same investment in the Standard & Poor's 500 stocks. Raised in Brooklyn, where his father was a jeweler, Steinhardt first became interested in stocks when he was given some shares as a bar mitzvah present. Not long after, he started stopping by the local Merrill Lynch branch to check his investments and to use that capital to make more purchases. After graduating high school at 16, Steinhardt went to the University of Pennsylvania's Wharton School, where he completed his undergraduate program in three years. From there he went to his favorite place: Wall Street.

At age 26, he founded his own firm with two friends and $7.7 million in capital. From his years on the street, Steinhardt has blunt advice for part-time investors: "It's essential they be aware that they are at a competitive disadvantage—in terms of education, experience, and quality of information." It's not a game, he said. Consider his attitude: "I'm very committed and tense, and I'm not a good loser." And the evidence was on his desk: a number of computers and telephones (at one time he had direct connections to 75 trading rooms). To ease the pressure, Steinhardt took a year off in 1978 "to experience other areas of life."

Fortunately, operating hedge funds has given him more freedom to be creative with investments because they are less regulated than mutual funds. Also, because hedge funds are limited partnerships of 99 partners who fork over a minimum of $1 million to get in the game, not only does he have a seriously committed investor to work for, but he can indulge in shorting and other tricks of the trade that mutual fund managers cannot. In a given year, his portfolio might turn over 17 times versus about 1 for a standard equity mutual fund. The formula behind his actions is divulged in *Investing, Hedge-Fund Style,* in which Steinhardt readily admits that hedge funds have been associated with the "go-go type."